

Week ending: 5th March 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day & 364-day** T-bills were oversubscribed recording **176.13%** and **190.16%** respectively**,** while the **182-day** T-bill was undersubscribed recording **77.74%.** The CBK accepted KES **7.05B**, **7.78B** and **19.02B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer accepting a total of **33.84B.**

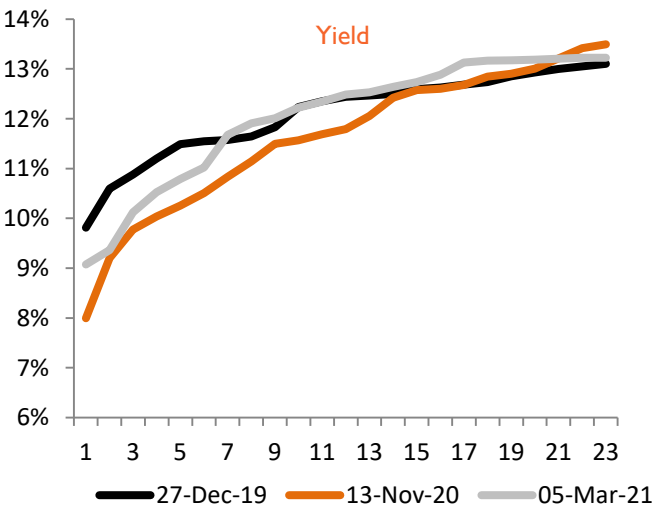
The Central Bank of Kenya re-opened two fixed bonds **FXD1/2019/10-(8.0 years)** and **FXD2/2018/20-(17.4 years)** from **01/03/2021** to **09/03/2021** in a bid to raise **50Bn.** The coupon rates for the bonds are **12.438%** and **13.200%** respectively. The two bonds will attract a withholding tax of 10%. We advise investors to bid within the range of **12.15%** to **12.39%** for the **FXD1/2019/10-(8.0 Years)** and **13.25%** to **13.49%** for the **FXD2/2018/20-(17.4Years).** For more information click here**.**

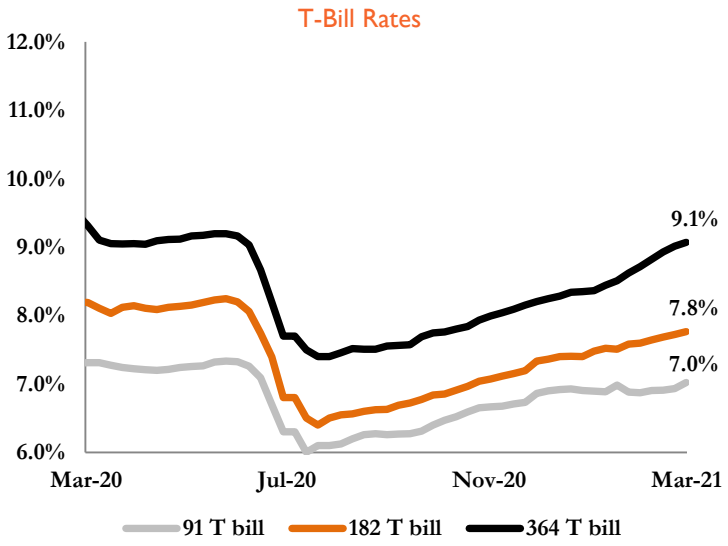
Key Indicators

	Current	Previous	% Change
91- Day	7.02%	6.93%	0.09%
182-Day	7.77%	7.72%	0.04%
364-Day	9.07%	9.01%	0.06%
Interbank Rate	5.09%	4.23%	0.86%

Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (February)	5.78%	5.69%
Private sector credit growth (December)	8.4%	7.7%
Money Supply (October)	11.50%	10.70%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the USD this past week appreciating by **0.13%** to stand at **109.65**. The CBK's usable forex reserves currently stand at **USD 7,359 million (4.52** months of import cover**)** as of March 4th a **3.23%** decrease from **USD 7,605 million (4.67** months of import cover**)** as of February 25th.

Inflation

In February, Headline inflation stood at **5.78%** from **5.69%** in January. The CPI increased by **0.70%** from **112.58** in January to **113.37** in February. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.01%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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